

30 Apr 2026 16:51:15 ET | 10 pages

Sandisk Corp (SNDK.O)

March Quarter Results – Quick Take

CITI'S TAKE

SNDK stock is down ~5% post-market after reporting Mar-Q results (albeit the stock has been up ~20% into the print). The company ended the fiscal third quarter with three signed New Business Model (“NBM”) agreements. They also signed two additional NBM agreements in the fiscal fourth quarter. They also noted a \$6B share repurchase program following full debt repayment, leading to a zero-debt balance sheet. We are awaiting additional commentary on the 4:30pmET earnings call.

Fundamentals – Sandisk reported March quarter results of \$5.95B (+97% qq, +251% yy) and EPS of \$23.41. This compares with guidance range of revenues \$4.4B – \$4.8B, and EPS range \$12.00 – \$14.00 and vs Street (FactSet) expectations of \$4.69B and \$14.43, respectively. Gross margins of 78.4% vs. guidance range of 65%-67% and Street at 66.3%. Operating margins of 70.9% vs. Street at 56.9%.

Guidance – F4Q26 (ending June) sales outlook of \$7.75B – \$8.25B vs. Street at \$6.38B, Gross margin range of 79% -81% vs. Street at 70.9%, EPS of \$30.00 – \$33.00 vs. Street at \$22.26.

Buy

Short-Term View: Upside, expires 17-JUN-26

Price (30 Apr 26 16:00)	US\$1,096.51
Target price	US\$980.00
Expected share price return	-10.6%
Expected dividend yield	0.0%
Expected total return	-10.6%
Market Cap	US\$161,846M

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Focus on the call will be:

- Durability of datacenter demand strength and expanding AI workloads.
- Whether pricing has yet peaked or has room to tick up further.
- Commentary on capital invested to support its current mid- to high-teen bit growth expectations vs technology node transitions to support additional EB flexibility along with any color on recent agreements signed.
- Given the company’s net-cash positive position as of F1Q26 (ending Sept. 2025) and its strong cash generation ability, we wait to hear re. further debt reduction over time, followed by shareholder returns (which we believe may include a small amount of dividends).

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Sandisk Corp

Valuation

Sandisk's peer set historically trades at (FactSet) median 3-4x EV/sales, and 9-10x P/E. Our target price for SNDK is \$980, where we value shares at 9x CY27 EPS, vs its closest competitor, Kioxia with median of 8-9x, as well as the larger peer group at 9-10x P/E. We note most peers have DRAM exposure while SNDK does not. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) macro environment deteriorating and impacting datacenter spend, PC refresh, or AI-PC uptake; and 3) supply-demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

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Appendix A-1

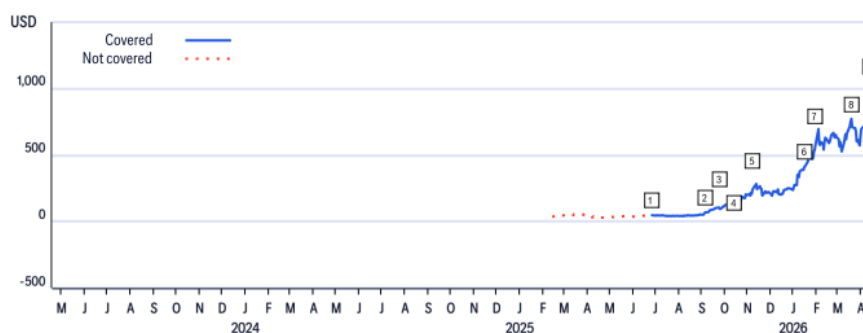
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Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	26-Jun-25 04:00:00	*1	*\$7.00	47.44
2	07-Sep-25 21:24:48	1	*\$0.00	68.55
3	24-Sep-25 04:00:00	1	*\$125.00	99.83

*Indicates Change

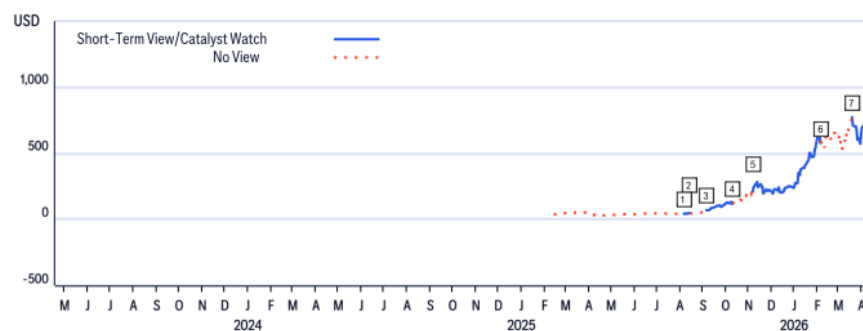
	Date	Rating	Target Price	Closing Price
4	13-Oct-25 00:10:56	1	*\$150.00	134.61
5	07-Nov-25 00:50:25	1	*\$280.00	239.48
6	19-Jan-26 19:00:00	1	*\$490.00	413.62

	Date	Rating	Target Price	Closing Price
7	30-Jan-26 06:41:51	1	*\$750.00	576.25
8	19-Mar-26 06:19:51	1	*\$875.00	772.09
9	13-Apr-26 03:59:36	1	*\$980.00	952.50

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK) Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69
6	05-Feb-26 11:27:43	Remove STV	Upside	90 Days	576.20

	Date	Action	Expected Direction	Duration	Closing Price
7	19-Mar-26 02:19:51	Add STV	Upside	90 Days	772.09

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
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